



Leveraging Generative AI for Operational Excellence & EBITDA Expansion

CII Foods (Cereal Ingredients, Inc.) · Executive Leadership Team · March 2024
· Confidential

Company at a Glance

~\$184M Revenue

Midpoint estimate · Privately held

~395 Employees

Two facilities · 7 production lines ·
24/7

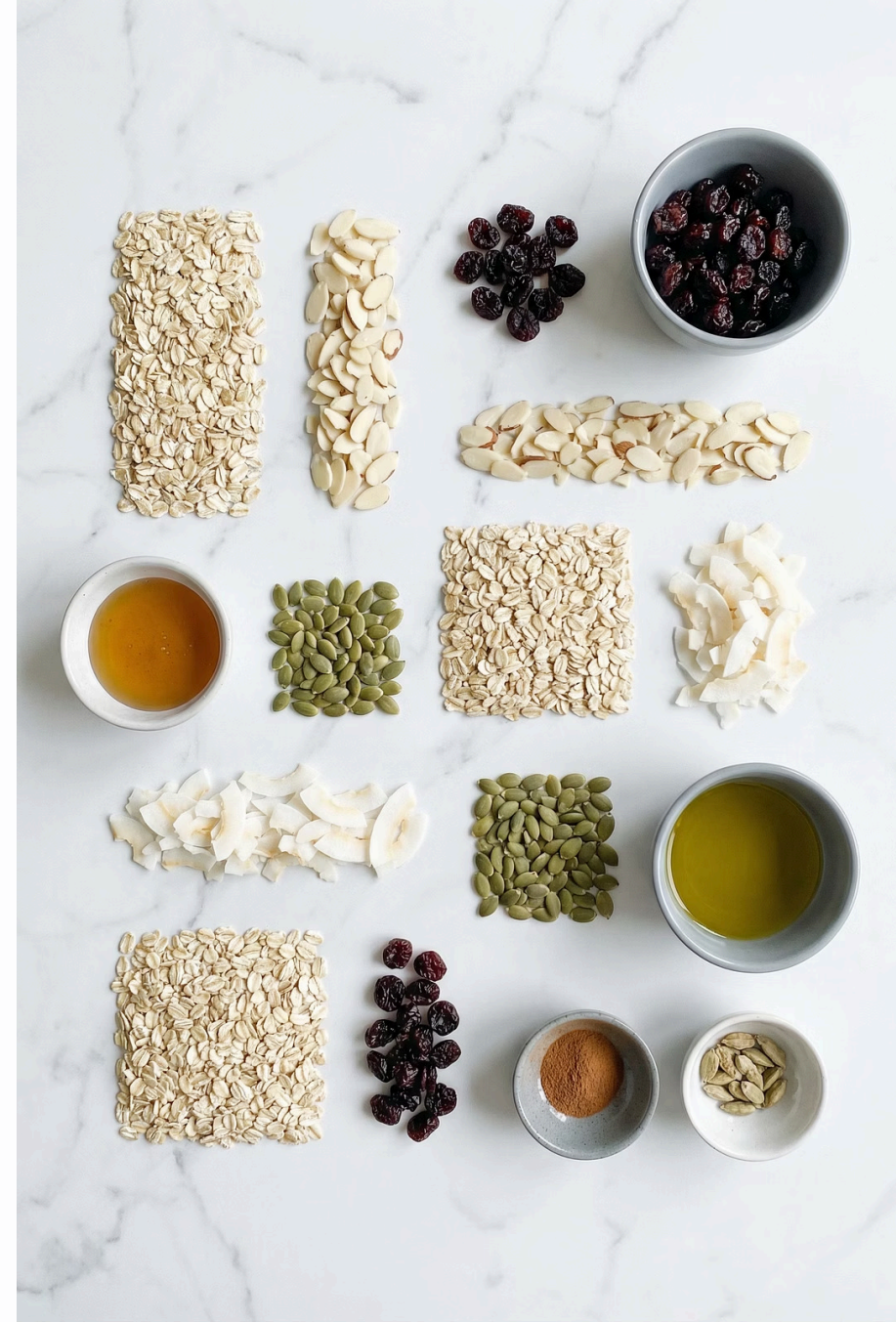
Core Products

Particulates, granola, panning,
Nutri-Crisps®, plant proteins

Strategic Inflection Point

Founder Robert W. Hatch
passed January 2025.

Combined with a **\$24M capital expansion** and intensifying AI-enabled competition, the moment demands transformation.



The Opportunity in Numbers

\$184M

Revenue Base

3%

Current EBITDA Margin

Industry avg: 2.5–4%

\$16M

Annual Savings
Potential

High-end estimate

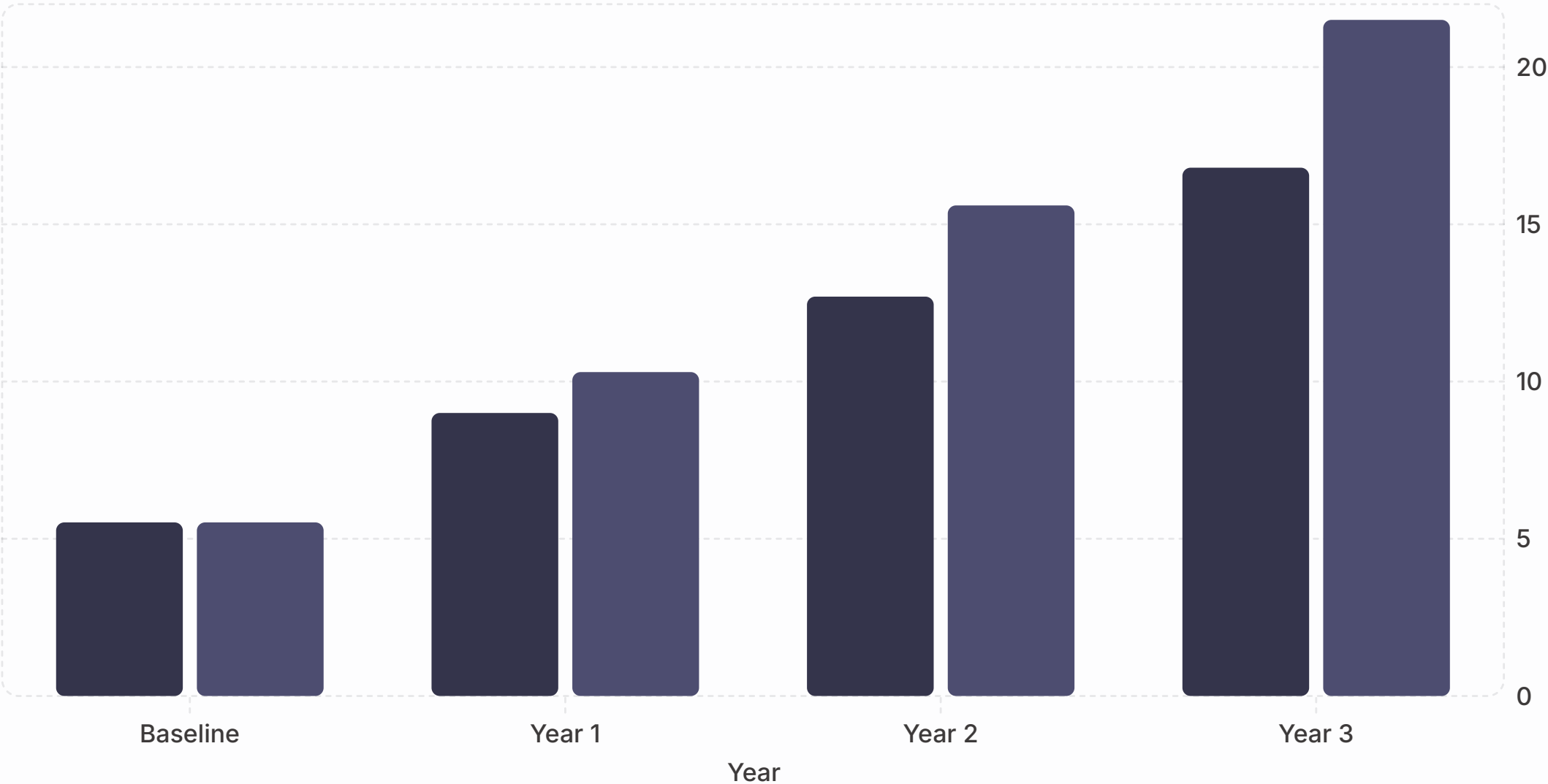
290%

EBITDA Improvement

Over 3 years

EBITDA Low (\$M)

EBITDA High (\$M)



CURRENT LANDSCAPE

Why Act Now



Margin Pressure

EBITDA 2.5–4% · Food input inflation +6% projected · Gross margins constrained by commodity volatility



Operational Complexity

SKU proliferation · BRC/FSMA/HACCP manual documentation · 14-person sustainability committee



Labor Escalation

24/7 shift premiums · Scarce food scientists & extrusion operators · Manual changeover management



Scale Disadvantage

\$184M vs. \$900M+ competitors · No public AI/automation initiatives · Window to act is narrowing

Where AI Transforms CII Foods

SG&A Functions

Finance & Accounting

7.5-day faster close ·
60–70% AP automation ·
\$1.13M–\$1.63M value

Sales & Marketing

25–47% productivity
gains · AI proposals ·
\$4.05M–\$6.00M value

Customer Service

60–70% inquiry
deflection · 24/7 AI agent
· \$450K–\$600K value

HR & Legal

30–40% faster hiring ·
compliance automation ·
\$650K–\$870K value

Operations

Production & Quality

97–99% defect detection
· 10–15% throughput
gain · \$2.77M–\$3.69M
value

Supply Chain

20–50% forecast
accuracy · 10–20%
inventory reduction ·
\$1.07M–\$1.86M value

R&D Acceleration

30–40% faster
formulation · \$3.68M–
\$5.52M revenue impact

Sustainability

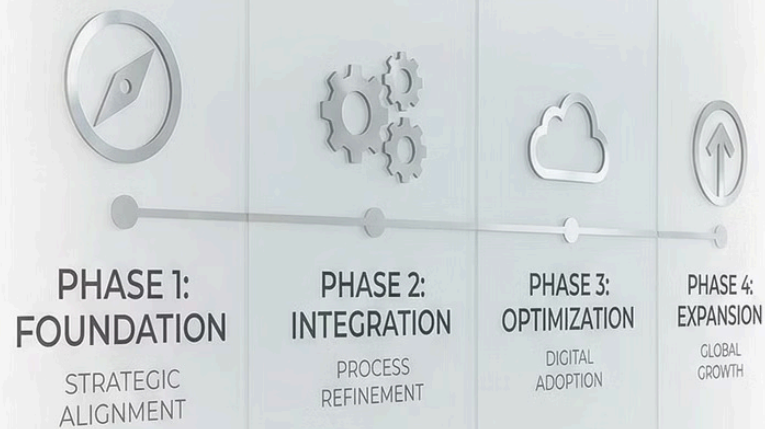
80–85% less data
collection · automated
ESG reporting · \$445K–
\$671K value

Consolidated AI Value Summary

Function	Annual Value	Timeline
Finance & Accounting	\$1.13M – \$1.63M	6–12 months
HR & Talent	\$350K – \$455K	6–12 months
Sales & Marketing	\$4.05M – \$6.00M	12–18 months
Customer Service	\$450K – \$600K	6–9 months
Legal & Compliance	\$300K – \$415K	9–15 months
Production & Quality	\$2.77M – \$3.69M	12–24 months
Supply Chain	\$1.07M – \$1.86M	12–18 months
R&D (Revenue Impact)	\$4.11M – \$6.13M	18–36 months
Sustainability	\$445K – \$671K	6–12 months
TOTAL IMPACT	\$14.66M – \$21.42M	36 months

📄 **Investment Required:** \$1.8M–\$2.4M over 36 months · **Payback:** 6–9 months · **3-Year ROI:** 1,122–1,192%

Three-Phase Transformation



1

Phase 1 · Days 1–90

Fast Wins

Executive AI immersion · Invoice automation · Sales proposal AI
· Customer service chatbot · ESG dashboard

Investment: \$185K–\$280K

Value: \$300K–\$470K run-rate

2

Phase 2 · Months 4–12

Scale & Integrate

Enterprise AI platform · Computer vision QC · Supply chain forecasting · R&D formulation AI · Sales enablement

Investment: \$1.29M–\$1.92M

Value: \$8.5M–\$12.8M run-rate

3

Phase 3 · Months 13–36

Optimize & Lead

AI Center of Excellence · Predictive maintenance · Augmented R&D lab · Customer portal · Full optimization

Investment: \$1.58M–\$2.17M

Value: \$14.7M–\$21.4M run-rate

Key Risks & Mitigations

1

Fragmented Adoption

Prob: HIGH · Governance framework + Steering Committee approval + enterprise platform by Month 8

2

Data Quality Gaps

Prob: MEDIUM-HIGH · Data readiness assessment in Phase 1 · Prioritize high-data-availability use cases first

3

Change Resistance

Prob: MEDIUM · AI as copilot, not replacement · No layoffs commitment · Tiered training for all 395 employees

4

Food Safety Failures

Impact: CATASTROPHIC · Human-in-the-loop mandatory · Conservative confidence thresholds · Rigorous validation protocols

5

Vendor Lock-In

Prob: MEDIUM · Open APIs · Multi-vendor strategy · Data portability in contracts · Quarterly tech reviews

6

Cybersecurity

Impact: \$2M–\$10M · SOC 2 / ISO 27001 required · Private cloud for formulations · Annual penetration testing

ENTERPRISE VALUE

The Valuation Transformation



Today

$$\begin{aligned} &\$5.52\text{M EBITDA} \times 4.5\text{--}5.5\text{x} \\ &= \mathbf{\$24.8\text{M} - \$30.4\text{M}} \end{aligned}$$

Year 3 (Post-AI)

$$\begin{aligned} &\$16.8\text{M}\text{--}\$21.5\text{M EBITDA} \times \\ &5.5\text{--}6.5\text{x} \\ &= \mathbf{\$92.4\text{M} - \$139.8\text{M}} \end{aligned}$$



Enterprise Value Created:
\$67.6M – \$109.4M on
\$1.8M–\$2.4M investment

Strategic Optionality

- Remain independent with top-quartile 9.1–11.7% EBITDA margins
- Attract strategic or financial buyers at premium multiples
- Scale to \$250M–\$300M revenue without proportional SG&A growth

The Choice Is Clear

Option A: Status Quo

Margin erosion · Talent attrition · Valuation stagnation ·
Acquisition target within 3–5 years

Option B: AI Transformation

\$11.3M–\$16.0M EBITDA uplift · 9.1–11.7% margins ·
\$67.6M–\$109.4M enterprise value created

Immediate Next Steps — Week 1

01

Day 1–3

CEO convenes leadership · Secure board endorsement · Commit
to 3-year investment plan

03

Week 1–2

CEO-wide communication: AI as copilot, not replacement · Invite
employee input

02

Week 1

Engage AI consulting partner · Assign Phase 1 lead (COO/CFO) ·
Allocate \$185K–\$280K budget

04

Week 2–4

Select 3–4 Phase 1 pilots · Begin Executive Immersion training

"The transformation begins now. The opportunity is quantified. The roadmap is clear."